

Five Flats, Three Borders - rent 146,000 GBP - LOCAL WORKING COPY

Publishable case context has not been author-reviewed; raw intake text is excluded.

PREPARED FOR

Not specified

PREPARED BY

Not specified

MATTER REFERENCE

-

REPORT STATUS

DRAFT - preliminary analysis

Workspace-saved version

Classification: DRAFT

Professional-use notice

This report is generated from the Studio graph. It is a structured working product, not a substitute for jurisdiction-specific legal, tax, financial or regulatory advice. Validate facts, authorities, assumptions and calculations before reliance or circulation.

Studio review information does not establish independent workflow approval. Recorded runs and independently approved outputs are available through the case workflow.

Generated: 28 September 2026 at 05:13 UTC

1. Decision brief

DRAFT - preliminary analysis

Review question	Case model summary
Objective	The client seeks advice on acquiring five English flats and prefers a Liechtenstein fund while demanding an undefined 10% annual return.
Recorded inputs	Five-flat acquisition and amortizing debt profile: Price is £1,000,000 with £800,000 debt, £200,000 deposit, 7.5% rate, 120-month amortization, £146,000 corrected annual gross rent (owner-provided [extract]) Annual rental income: Annual gross rental income: £146,000 per year. Source status: Owner-revised assumption. Expenses under the 25% rule: $25\% \times £146,000 = £36,500$ per [extract] + 1 more in the case.
Decision criteria	Set the scope of the engagement Define the 10% return metric Obtain residence, UBO, wealth and funds evidence Commission asset, rent, title and lender diligence Decide whether to reserve the property Obtain coordinated UK, PRC and Liechtenstein opinions Accept or reject the proposed funding route Compare ownership and financing routes Test the Liechtenstein AIF evidence package + 3 more in the case.
Possible outcomes	Proportionate, evidenced and financially reconciled route Timely stop or renegotiation protects the client Lawful but uneconomic or materially defective execution
Conclusion and basis	This PDF describes the case model. It does not establish a selected outcome or prove that a run was completed. Check each branch's full conditions in the case before recommending an outcome.
Assumptions	Initial deposit is £200,000. The acquisition-cost input is 7% of the £1,000,000 price and is provisional rather than a calculated SDLT amount. Further assumptions are in the economics appendix.
Sources and limits	1 public HTTPS source(s); 1 evidence record(s). Individual fact-verification status is not recorded in this Studio model. Source references within records also require checking.
Next actions	Verify inputs and assumptions against sources; run the relevant scenarios; document the chosen outcome and its conditions; obtain independent approval through the case workflow.

Selected records and labelled extracts are shown above. The complete graph text appendix is omitted. Review the case for full node and connection conditions. Text supplied in the case keeps its original language.

2. Case overview

Field	Value
Case ID / version	five_flats_three_borders_rent146000_working_20260923 / v1.0.0
Jurisdiction	England and Wales; People's Republic of China; Liechtenstein
Professional role	Lead cross-border adviser coordinating UK, PRC and Liechtenstein specialists
Practice area	Tax planning
Difficulty	Intermediate
Legal / guidance as of	2026-10-31
Tags	cross-border, England residential property, PRC resident investor, Liechtenstein AIF, UK property SPV, residential letting, financing, AML and UBO, transaction structuring
Tax topics	SDLT purchaser and residence analysis, UK property income taxation, corporate finance-cost treatment, non-resident landlord obligations, ATED relief and return distinction, VAT-exempt residential rent, UK disposal and inheritance tax exposure, UK–China treaty and foreign tax credits, PRC worldwide income and gains, PRC outbound-funds compliance, tax transparency and treaty entitlement, PPT and anti-avoidance, ROE and beneficial ownership filings
Case package	tax_planning@1.0.0
Report profile / renderer	tax_position_memorandum@1.0.0
Graph layout contract	1 · 1.1.0 · 2.1.0
Report state	DRAFT · INTERNAL

Executive case context

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Model inventory

Measure	Count
Nodes	23
Connections	36
Evidence items	1
Decisions	12
Outcomes	3
Public HTTPS sources	1

Type-aware report scope

executive summary · facts evidence · authorities · economics · options · tax position · sources · approval

Canonical report-model fingerprint: sha256-b00889b3a884618ca13b79d2ca7b88a5c25cbdb7a5c0fd8dc0600aceda349457

Presentation layout fingerprint: sha256-5197ff1ab03dc6ea955e39fdae0e3c228810cd9e929e2111d1d68583c01386d5

3. Profile-specific analysis

Facts and evidence

Item	Professional record
Five-flat acquisition and amortizing debt profile	Price is £1,000,000 with £800,000 debt, £200,000 deposit, 7.5% rate, 120-month amortization, £146,000 corrected annual gross rent (owner-provided input; independent evidence pending), and a 1.25x lender DSCR threshold. The broker's separate £150,000 claim is unsupported. Owner-revised expenses under the 25% rule: $25\% \times £146,000 = £36,500$ per year. Rent after these expenses, before financing and other costs: $£146,000 - £36,500 = £109,500$ per year.
Client KYC profile	Client should provide a completed KYC questionnaire

Authorities

Item	Professional record
Three-country legal and tax gates require verification	Purchaser-specific UK tax and filings, PRC worldwide tax and lawful outbound funding, and Liechtenstein AIF eligibility, regulation, substance, transparency, treaty, and distribution treatment must be documented. Formation alone creates no treaty access.

Options

Item	Professional record
Set the scope of the engagement	Choose whether to test the requested fund against lawful alternatives or initially limit work to the requested structure, subject to professional independence.
Define the 10% return metric	Require a named metric and present gross yield, NOI yield, after-tax cash-on-cash return, and 10-year after-tax equity IRR separately.
Obtain residence, UBO, wealth and funds evidence	Decide whether the file supports lawful ownership and funding or whether advice must pause pending satisfactory evidence.
Commission asset, rent, title and lender diligence	Test title, five-dwelling status, licensing and landlord obligations, achievable rent, operating costs, amortization, security, and borrower conditions.
Decide whether to reserve the property	Choose whether to reserve conditionally, renegotiate timing or economics, or avoid commitment while material evidence remains outstanding.

Options

Item	Professional record
Obtain coordinated UK, PRC and Liechtenstein opinions	Commission current, source-supported advice addressing tax, filings, outbound funds, AIF availability, transparency, treaty access, substance, leverage, and distributions.
Accept or reject the proposed funding route	Proceed only with documented wealth and a lawful bank or SAFE-compliant route; unresolved or misdescribed funds require a pause or refusal.
Compare ownership and financing routes	Compare direct individual ownership, a UK property SPV, an available Liechtenstein AIF, and an AIF holding a UK SPV, together with stopping or renegotiating.
Test the Liechtenstein AIF evidence package	Require an FMA-authorized AIFM letter covering eligibility, approval, providers, leverage, legal form, substance, AML, UBO, CRS, tax transparency, treaty and PPT analysis, lender security, PRC distributions, timing, and complete fees.
Complete purchaser-specific tax and cash-flow modeling	Calculate SDLT only after purchaser, title, residence, and relief facts are known. Reconcile NOI, amortizing debt, DSCR, country taxes, distributions, full initial equity, returns, break-even points, exit, FX, and fund payback.
Recommend, renegotiate, condition or decline execution	Set conditions for KYC, lawful funds, lender approval, regulatory feasibility, tax filings, transaction documents, and a reconciled base, downside and evidenced-upside model.
Review year-one results and compliance	Compare actual rent, vacancy, repairs, DSCR, loan balance, taxes, ATED return position, distributions, fees, and FX against the approved model and covenant conditions.
Proportionate, evidenced and financially reconciled route	The chosen route is supported by lawful funds, purchaser-specific tax analysis, lender approval, full-cost return metrics, complete filings, and evidence appropriate to its complexity. This may be a simple route rather than a fund.
Timely stop or renegotiation protects the client	The adviser pauses, renegotiates, or declines because evidence, funding, financing, economics, timing, or legal feasibility is unresolved. The decision preserves compliance and avoids unsupported execution.
Lawful but uneconomic or materially defective execution	The route suffers a financing or DSCR mismatch, unsupported treaty position, purchaser-tax error, compliance failure, excessive fund costs, trapped distributions, or operational underperformance. Concealed ownership or unlawful funding is a failure condition.

Tax position

Item	Professional record
Three-country legal and tax gates require verification	Purchaser-specific UK tax and filings, PRC worldwide tax and lawful outbound funding, and Liechtenstein AIF eligibility, regulation, substance, transparency, treaty, and distribution treatment must be documented. Formation alone creates no treaty access.

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Tax position

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4. Economics and scenario analysis

Investment and cash-flow analysis

Input	Value
Purchase price	£1,000,000
LTV	80.0%
Interest rate	7.5%
Term	120 months
Gross annual income	£146,000
Known operating costs	£36,500
One-off structure cost	£15,000
Annual structure cost	£10,000
Target cash-on-cash return	10.0%

Repayment basis	Debt service	Annual cash flow	CoC	DSCR
Amortizing	£113,954	-£14,454	-5.1%	0.87x

These are deterministic calculations from supplied assumptions, not probabilities or a forecast. Currency effects, exit costs, tax and unpriced costs are excluded. Use the Decision report for explicit income sensitivities.

- Initial deposit is £200,000.
- The acquisition-cost input is 7% of the £1,000,000 price and is provisional rather than a calculated SDLT amount.
- Owner-revised annual gross rent: £146,000. Expenses: $25\% \times £146,000 = £36,500/\text{year}$. Rent after these expenses: £109,500/year before financing and other costs. After £10,000 structure cost and £113,953.70 amortizing debt service, cash flow is -£14,453.70/year before tax and unknown costs. Independent evidence and outcome approval are pending.
- Known initial cash is at least £285,000 before currently unpriced professional, lender, valuation, registration, and reserve costs.
- Scheduled amortizing debt service uses the supplied control of £9,496.14 monthly and £113,953.70 annually, subject to confirmation.
- The lender's minimum DSCR is 1.25x, calculated as NOI divided by scheduled debt service.
- Interest-only debt service of £60,000 annually plus an £800,000 balloon remains a comparison control, not the selected repayment basis.

The following figures are an arithmetic scenario only. Rate sources, taxable base, deductibility and eligibility are not established by this model. Do not treat the amounts as verified savings or offset them against a financing shortfall.

Unverified tax scenario — not a tax recommendation

Metric	Result
Annual taxable base	£49,500
Baseline / optimized tax rates	35.0% / 5.0%
Derived baseline / optimized tax	£17,325 / £2,475
Gross annual tax saving	£14,850
Recognized annual saving	£12,623
Annualized implementation	£5,000
Annualized net benefit	-£2,378
Simple payback	68.6 months
Lifecycle ROI	-45.9%
NPV	-£27,843

Assumptions: Tax base is prefilled as gross annual rent less rental-property expenses less annual loan-interest expense. Verify every case input and tax rate before relying on the estimate.

Tax-rate sources: baseline=unset; optimized=unset.

5. Scenario and decision map

Type	Issue / step	Leads to
Trigger	Client requests a five-flat cross-border structure	PRC-resident, non-UK-resident client
Actor	PRC-resident, non-UK-resident client	Five-flat acquisition and amortizing debt profile; UK real estate object
Fact	Five-flat acquisition and amortizing debt profile	Transaction and review milestones; Client KYC profile
Deadline	Transaction and review milestones	Three-country legal and tax gates require verification
Tax rule	Three-country legal and tax gates require verification	Set the scope of the engagement
Decision	Set the scope of the engagement	Define the 10% return metric; Obtain residence, UBO, wealth and funds evidence
Decision	Define the 10% return metric	Obtain residence, UBO, wealth and funds evidence; Timely stop or renegotiation protects the client
Decision	Obtain residence, UBO, wealth and funds evidence	Commission asset, rent, title and lender diligence; Timely stop or renegotiation protects the client

5. Scenario and decision map

Type	Issue / step	Leads to
Decision	Commission asset, rent, title and lender diligence	Decide whether to reserve the property; Obtain coordinated UK, PRC and Liechtenstein opinions
Decision	Decide whether to reserve the property	Obtain coordinated UK, PRC and Liechtenstein opinions; Timely stop or renegotiation protects the client
Decision	Obtain coordinated UK, PRC and Liechtenstein opinions	Accept or reject the proposed funding route; Timely stop or renegotiation protects the client
Decision	Accept or reject the proposed funding route	Compare ownership and financing routes; Timely stop or renegotiation protects the client
Decision	Compare ownership and financing routes	Test the Liechtenstein AIF evidence package; Complete purchaser-specific tax and cash-flow modeling; Timely stop or renegotiation protects the client
Decision	Test the Liechtenstein AIF evidence package	Complete purchaser-specific tax and cash-flow modeling; Lawful but uneconomic or materially defective execution; Timely stop or renegotiation protects the client
Decision	Complete purchaser-specific tax and cash-flow modeling	Recommend, renegotiate, condition or decline execution; Timely stop or renegotiation protects the client; Annual rental income
Decision	Recommend, renegotiate, condition or decline execution	Review year-one results and compliance; Timely stop or renegotiation protects the client; Lawful but uneconomic or materially defective execution
Decision	Review year-one results and compliance	Proportionate, evidenced and financially reconciled route; Lawful but uneconomic or materially defective execution; Timely stop or renegotiation protects the client
Outcome	Proportionate, evidenced and financially reconciled route	Terminal / no outgoing path
Outcome	Timely stop or renegotiation protects the client	Terminal / no outgoing path
Outcome	Lawful but uneconomic or materially defective execution	Terminal / no outgoing path
Cash flow	Annual rental income	Terminal / no outgoing path
Evidence	Client KYC profile	Terminal / no outgoing path

5. Scenario and decision map

Type	Issue / step	Leads to
Entity / jurisdiction	UK real estate object	Terminal / no outgoing path

6. Facts, evidence and rules register

Category	Item	Detail / verification note
Fact	Five-flat acquisition and amortizing debt profile	Price is £1,000,000 with £800,000 debt, £200,000 deposit, 7.5% rate, 120-month amortization, £146,000 corrected annual gross rent (owner-provided input; independent evidence pending), and a 1.25x lender DSCR threshold. The broker's separate £150,000 claim is unsupported. Owner-revised expenses under the 25% rule: $25\% \times £146,000 = £36,500$ per year. Rent after these expenses, before financing and other costs: $£146,000 - £36,500 = £109,500$ per year.
Deadline	Transaction and review milestones	Preliminary view: Day 3; lender structure: Day 10; reservation: Day 15; exchange: Day 25; completion: Day 45; post-completion review: Day 365. No clock times were supplied.
Tax rule	Three-country legal and tax gates require verification	Purchaser-specific UK tax and filings, PRC worldwide tax and lawful outbound funding, and Liechtenstein AIF eligibility, regulation, substance, transparency, treaty, and distribution treatment must be documented. Formation alone creates no treaty access.
Evidence	Client KYC profile	Client should provide a completed KYC questionnaire
Entity / jurisdiction	UK real estate object	1 mGBP 5 apartment rental units

Each material item should be marked by the reviewer as verified, source-backed, judgment, confirmation required or uncertain before external circulation.

7. Authorities and source register

- <https://horizonukts.com/guides/non-residents-holding-uk-property>

8. Authoring and review trail

UTC	Source	Action	Record
2026-09-28 05:02	prompt	graph_rebuilt	Draft reconstruction recorded - raw input excluded

9. Verification and sign-off

- ☐ Facts and evidence reconciled to the underlying file.
- ☐ Legal authorities remain current as of the stated date.
- ☐ Assumptions, exclusions and uncertainties are explicitly disclosed.
- ☐ Economics and scenario assumptions are independently checked.
- ☐ Confidentiality, privilege, conflicts and circulation scope are confirmed.

Reviewer	Role	Date	Sign-off / qualification

Current content fingerprint: sha256-f3cc75e5bf9fe0b5dca8957cd2d2be5788635701e8bc24279ebd9603dae32c39